

the maintenance requirement, the position can be liquidated with some or all of the collateral sold to cover the debt.

The mechanism for yToken settlement is still undecided, but one proposed solution is “cash” settlement, which means paying an equivalent amount of the collateral asset worth the specified amount of the target asset. For example, if the target asset is 1 ETH secured by 300 DAI, and at expiry $1 \text{ ETH} = 200 \text{ DAI}$, a cash settlement would pay out 200 DAI and return the 100 DAI excess collateral to the seller of the yToken. The other commonly proposed solution is “physical” settlement, which automatically sells collateral for the target asset upon expiry (perhaps on Uniswap) to pay out in the target asset. Using the same numbers as in the previous example, the owner of the yToken would receive 1 ETH and the seller would receive slightly less of the remaining collateral, likely around 95 DAI, after subtracting exchange fees. The yToken effectively allows for fixed-rate borrowing and lending, using the implied return on the discounted price of the token versus the target amount.

We can illustrate as follows: assume a user has a yToken with the target asset of 1 DAI backed by ETH. The maturity date is one year ahead, and the yToken is trading at 0.92 DAI. A purchase of the yToken effectively secures an 8.7 percent fixed interest rate, even in the case of a liquidation. In the event of a normal liquidation, the collateral would be sold to cover the position, as shown in Figure 6.8.

A compelling third option for settlement (in addition to cash and physical) is “synthetic” settlement. Here, the